Macroeconomic commentary on the chinese trade surplus

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China's September exports soar, putting $1 trillion trade surplus in sight

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by Yukun Zhang, Ellen Zhang and Liz Lee

BEIJING, Oct 14 (Reuters) - China's trade surplus widened more than expected in September as exports surged, keeping the country on track to surpass last year's record surplus and likely intensifying trade tensions with major partners.

Global demand for semiconductors and green-tech products has helped keep China's factories humming, easing pressure on policymakers to shore up economic growth against subdued domestic demand and investment.

Exports soared 36.3% from a year earlier, outstripping August's 25.0% rise and far exceeding expectations for 25.5% growth, customs data showed on Wednesday. September's growth was the fastest since February when exports expanded 39.6%.

Imports also remained robust, up 31.0% compared with 28.2% growth in August and economists' forecasts of a 24.5% gain.

Wang Jun, a vice customs minister, told a press briefing there would be external uncertainties including geopolitical conflicts that might affect trade, but added there was foundation and support for continued growth in exports and imports in the fourth quarter.

Analysts expect trade to remain buoyant, with tech products continuing to drive exports and imports.

"Key trade ties look set to remain stable through year-end, which should keep this year's key growth engine humming," said Lynn Song, ING's chief Greater China economist.

China's yuan held steady against the dollar on Wednesday, underpinned by solid exports data, while stocks (.CSI300) fell.

Rising Trade surplus

China's trade surplus topped $1 trillion in November last year and posted a record $1.189 trillion for the whole year.

The surplus reached $938.11 billion in the first nine months of this year, putting the manufacturing powerhouse on course to hit the $1 trillion mark sooner unless exports slow sharply in the final quarter. For now, such a slowdown appears unlikely.

September's trade surplus widened to $133.53 billion, helped by a 20-month-high $34.01 billion surplus with the United States and a larger $34.8 billion surplus with the European Union.

A deal with the EU to limit Chinese exports of hybrid vehicles to the bloc, announced earlier this month, is likely to weigh on China's booming auto trade over time. But with the trade measures likely being laid out in December, exporters may drive up shipments to beat the deadline.

"The widening trade surplus with Europe could spur broader EU restrictions beyond last week's narrow deal, though we expect the resulting economic fallout for China to be small," said Capital Economics's China economist Nguyen Hoang Nam.

President Xi Jinping's September summit with US President Donald Trump in Washington secured an extension to their tariff truce and an agreement to cut tariffs on $30 billion worth of goods from each side.

High-tech goods and cars continued to underpin shipments, with semiconductor exports rising 108.1% year-on-year in value terms in the first nine months. Auto exports expanded more than 50% in both value and volume terms.

With the global build-out of AI infrastructure showing little sign of slowing, analysts expect demand for Chinese-made technology products, including semiconductors, to remain robust.

China's factory-gate prices rose at their fastest pace in more than four years in September, separate data showed, while consumer inflation edged up but lagged forecasts, underscoring an uneven recovery.

The Canton Fair, China's largest trade exhibition, kicks off on Thursday for Chinese manufacturers to showcase their products to foreign buyers.

In commodities, September crude oil imports fell 21.5% year-on-year in volume terms, while soybean imports were down 7.7% from the same month last year.

Risks Loom

The strength in exports indicates that policymakers could still rely on moderate policy support to meet China's 4.5% to 5% annual GDP growth target.

Risks of curbs on Chinese exports loom as China continues to defend its industrial and monetary policies, which Washington and Brussels blame for Beijing's massive trade surplus.

China's central bank last week pushed back against criticism of its exchange-rate policy with a lengthy statement, arguing that it never pursued competitive depreciation and rejecting claims that China keeps the yuan artificially weak to gain a trade advantage.

Any major hit to exports, a key growth engine, could prompt policymakers to step up stimulus measures to address weak domestic demand and the years-long property market downturn.

Commentary

The chinese trade balance is on track for a record surplus this year. As Zhang et al. (2026) report, it is expected to exceed $1 trillion in 2026, surpassing last years record surplus. Driven by global demand for green technology and semiconductors, these exports are set to play a significant role in achieving the annual growth target of 4.5% to 5%.

But how does the transition from higher exports to growth work? To answer this question, I will apply the IS-LM model, first setting out its predictions for an export boom and then asking whether China's experience matches them.

A trade shock in the Textbook model

The IS-TR-Mundell-Fleming model (compare (Burda et al. 2022), ch. 11) extends the standard IS-LM model of a closed economy to include the international financial market (IFM).

In the model with a floating exchange rate, such as in China [1], an increase in exports has the following effects (see (**?**)):

First, it shifts the IS curve to the right ($IS_1 \rightarrow IS_2$), as exports form part of the Primary Current Account ($PCA = X - M$). The resulting increase in output widens the output gap, generating inflationary pressures as producers respond to stronger demand by raising prices. A central bank following the Taylor Rule (TR) would then react by increasing interest rates. In Figure A, this adjustment is represented by the movement from point A to point B along the upward-sloping TR curve.

At point B, the domestic interest rate is above the IFM Line ($i_1 > i_0$). The interest rate differential attracts foreign investment seeking higher returns. To invest in domestic assets, foreign investors must acquire the domestic currency, the renminbi in China's case. The resulting capital inflows put upward pressure on the currency, causing it to appreciate. This appreciation makes Chinese exports less competitive internationally while making imports relatively cheaper. Consequently, the PCA and desired demand decline, shifting the IS curve back to the left. This adjustment continues until the economy returns to its initial equilibrium at point A (see (**?**)).

To conclude: an increase in the PCA has no lasting effect on output. In the equilibrium, output is only determined by the intersection of the TR and IFM curves. Trade surpluses will ultimately be neutralised by the central banks monetary policy response.

Why, then, does the predicted adjustment not occur in China, which has recorded persistent trade surpluses for more than a decade (see Lavenant and Pluyaud (2026))?

[1] The IMF refers to the chinese monetary regime as "managed floating exchange rate" (Das 2019)

Adapting the model to China

The textbook model rests on several assumptions, two of which are particularly difficult to reconcile with China's economic environment.

First, the model assumes perfect capital mobility and interest rate parity, which are reflected in the horizontal IFM curve. In China, however, capital controls restrict the free movement of capital across borders and limit the arbitrage mechanisms assumed by the model. Furthermore, China's managed exchange-rate regime allows the authorities to influence the renminbi's value, potentially preventing the appreciation (the article refers to the concerns about competitive currency devaluations). Consequently, the IFM relationship would be less restrictive in practice than the textbook model suggests.

Second, the model assumes that the central bank follows a Taylor Rule. This implies that an increasing output gap generates inflationary pressure, prompting the central bank to raise interest rates. However, this relationship appears weaker in China. The article mentions rising factory-gate prices, but that consumer inflation has remained relatively subdued, suggesting a limited pass-through of production costs to consumer prices. Moreover, the benchmark Loan Prime Rate (LPR) of the Peoples Bank of China has remained unchanged for more than 17 months ("China Set to Leave Benchmark Lending Rates Unchanged for 17th Month" (2026)). This may indicate that the central Bank does not respond to inflationary pressures with a conventional Taylor Rule.

Together, this could be illustrated by slightly adjusting the diagram in (**?**). The TR curve is drawn flatter, almost horizontally, to reflect the weaker response of monetary policy to rising output and inflation. The IFM line is shown as a dashed line to indicate that the relationship between domestic and international interest rates is less strict due to capital controls.

In this model, following an increase in foreign demand for exports, the IS curve shifts to the right. Since the central bank does not significantly increase interest rates ($i_0 \approx i_1$) and the managed exchange rate limits the usual currency appreciation, the adjustment predicted by the textbook model is weakened. The economy can therefore reach the new point B, where output is higher than at the initial equilibrium A ($Y_B > Y_A$).

However, this figure is purely illustrative. The weakened relationship underlying the IFM line can hardly be represented in the graphic, and the functional form of the Central Bank response might not be linear. Other monetary policy objectives, which are not included in the Taylor Rule, can aslo not be represented in this model. The actual shape of both relationships is therefore more complex than the diagram suggests.

Conclusion

In conclusion, the IS-LM-Mundell Fleming model predicts that an increase in exports will eventually be offset by currency appreciation, bringing output back to its initial level. However, China's capital controls and distinct monetary policy framework weaken the adjustment mechanisms assumed by the model. This helps explain how China has maintained

substantial trade surpluses over recent years, which may persist as foreign demand for Chinese goods remains strong. Consequently, policymakers in Brussels and Washington cannot expect a natural adjustment to solve their problems with the chinese trade surplus.

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